

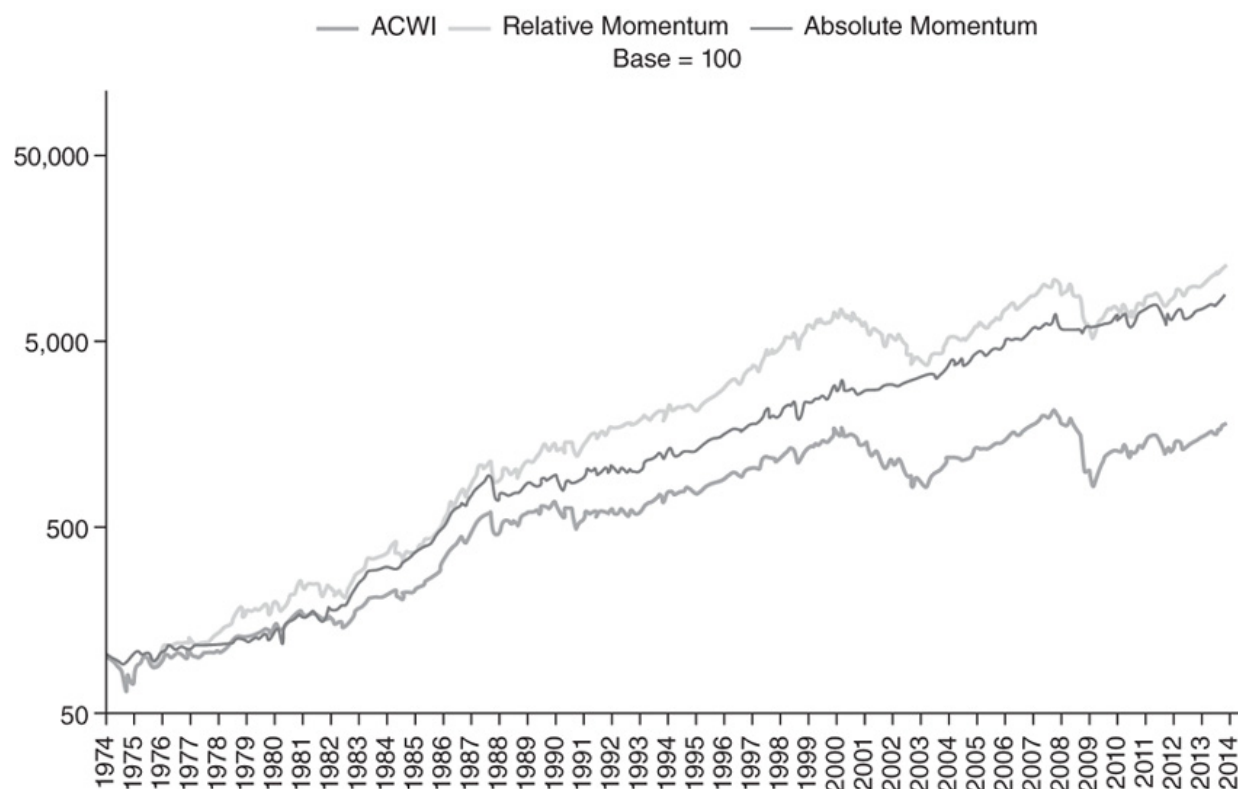


Figure 8.2 ACWI with Relative and Absolute Momentum, 1974–2013

We see that relative strength momentum applied to ACWI gives a 556 basis point greater annual return than ACWI itself. This comes with a slight increase in volatility and a modest reduction in maximum drawdown. Absolute momentum gives a more modest 381 basis point increase in return over ACWI, *but with a 3.6% decrease in standard deviation and more than a 60% reduction in maximum drawdown*. Absolute momentum is particularly helpful in bear market environments, such in 2000–2002 and 2007–2008.

Figure 8.3 shows the ratios of the cumulative returns of relative and absolute momentum to the ACWI index. We see here how well relative and absolute momentum complement each other. Absolute momentum kicks in and adds value in bear market years, such as 1982, 2001, and 2008. Relative momentum, on the other hand, adds value during those times when absolute momentum is dormant and offers no advantage over the market itself, such as from 1986 through 2000, 2003 through 2007, and 2011 through 2013. Relative momentum adds more return than absolute momentum, but it does so with considerably more volatility and drawdown. It is also worth noting